Can you imagine? A five-minute tick bar chart! Some trader recently phoned me and wanted to talk about the developing head-and-shoulders bottom in beans.

"What head and shoulders?" I asked. It turned out he was looking at a 90-minute "bottom formation" during the course of a powerful long-term bear market. Well, he may have been impressed with this "bottom formation," but the market wasn't. And it took not more than another hour for it to make a shambles of his five-minute tick "bottom." It also cost him a few thousand.

## Fitting the Context

There is a useful and constructive application for these short-term "games," but only when they are viewed within a larger context. If you have taken a longer-term view of the market oriented toward trend, you can use the short-term signals as a timing aid to get into or out of a position based on a prevailing trend.

If your basic view of a particular market is down, you can use the short-term signal to time your sell order or maybe even to exit your short position. But you shouldn't use it to get onto the long side against a prevailing market trend. You just don't want to be long in a powerful bear market simply because a 90-minute segment of your five-minute tick chart shows what looks like a fragmented bullish formation.

Let's focus on the moving average approach to trade timing because it seems currently to be the most useful and viable method of trend-following for longer-term position trading.

It is becoming increasingly difficult to trade profitably with just a simplistic kind of moving average—buying when line A advances up through line B or selling when the opposite occurs. Markets are too volatile, and strong traders can